

CLOUDFLARE, INC. (NYSE: NET)

Five-Year Financial Review, FY2021 through FY2025

Prepared August 2026 | GAAP basis, dollar figures in millions unless noted | Fiscal year ends December 31

Overview

Cloudflare closed FY2025 with revenue of \$2,167.9 million, up 29.8% from \$1,669.6 million the year before. That marks the fifth straight year of growth above 28%, and it comes on a base that has more than tripled since FY2021, when the company reported \$656.4 million in revenue. Growth has decelerated gradually as the business has scaled, from 48.6% in FY2022 down into the high twenties over the last three years, which is a fairly typical pattern for a company crossing the \$2 billion revenue mark and is not, on its own, a sign of a slowing franchise.

The more interesting story sits below the revenue line. Gross margin has stayed relatively stable across the period, ranging from 74.5% to 77.6%, while operating expenses have fallen steadily as a share of revenue, from 97.0% of revenue in FY2021 to 83.8% in FY2025. That combination narrowed the operating loss in each of FY2022, FY2023 and FY2024, before it widened again in FY2025, from \$139.1 million to \$201.1 million. Free cash flow, meanwhile, kept climbing straight through. The two lines are telling somewhat different stories this year, and both are worth a closer look.

Revenue and Profitability

Revenue growth has been consistent rather than spectacular in any single year, which is arguably the more durable pattern. The table below sets out the core income statement lines across the five-year window.

\$ in millions	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	656.4	975.2	1,296.7	1,669.6	2,167.9
Gross profit	509.3	742.6	989.7	1,290.9	1,615.4
Gross margin	77.6%	76.1%	76.3%	77.3%	74.5%
Operating income / (loss)	(127.3)	(197.3)	(185.5)	(139.1)	(201.1)
Net income / (loss)	(260.3)	(193.4)	(184.0)	(78.8)	(102.3)
Net margin	(39.7%)	(19.8%)	(14.2%)	(4.7%)	(4.7%)

Source: Cloudflare Q4/FY press releases and earnings call transcripts, 2021-2025; SEC EDGAR 10-K (CIK 1477333); StockAnalysis.com / S&P Global standardized financials.

Gross margin dipped to 74.5% in FY2025 after holding above 76% for three consecutive years. Management has attributed compression like this in the past to the continued build-out of the network and to mix shift toward newer, infrastructure-heavier products, and a single year of softer margin is not yet a trend. It is the line worth watching most closely going into FY2026, since a full percentage point of gross margin on a \$2.2 billion revenue base is worth roughly \$22 million of gross profit.

Net losses have narrowed considerably in dollar terms, from \$260.3 million in FY2021 to \$102.3 million in FY2025, but the FY2025 figure is actually higher than FY2024's \$78.8 million loss. On a

percentage basis, net margin was flat at negative 4.7% in both years. Cloudflare has not posted a GAAP profit in any of the last five fiscal years, and the path to one still depends more on operating leverage in sales and G&A than on gross margin expansion.

Operating Leverage and Expense Structure

The clearest positive trend in the five-year record is the steady decline in operating expenses as a percentage of revenue. Combined sales, marketing and G&A spending fell from 68.1% of revenue in FY2021 to 60.1% in FY2025, and R&D fell from 28.9% to 23.6% over the same stretch. Together, total operating expenses have dropped from 97.0% of revenue to 83.8%, a decline of more than 13 percentage points in five years.

% of revenue	FY2021	FY2022	FY2023	FY2024	FY2025
R&D	28.9%	30.6%	27.6%	25.2%	23.6%
SG&A (combined)	68.1%	65.8%	63.0%	60.4%	60.1%
Total operating expenses	97.0%	96.4%	90.6%	85.7%	83.8%

This is the mechanism behind the narrowing operating loss through FY2024, and it is still moving in the right direction in FY2025 even though the operating loss increased in dollar terms that year. Revenue simply did not grow fast enough to offset the gross margin decline, even as the expense ratio kept improving. If the current pace of expense-ratio improvement holds, roughly two to three points of operating expense leverage per year, GAAP operating breakeven looks plausible within the next two to three fiscal years, though that is an extrapolation and not a company guidance figure.

Cash Flow and Balance Sheet

Cash generation has been the strongest part of the story and the one least visible in the GAAP net income line. Operating cash flow grew from \$64.7 million in FY2021 to \$603.1 million in FY2025, a roughly ninefold increase. Free cash flow, which was negative in both FY2021 and FY2022, turned positive in FY2023 at \$133.9 million and has grown every year since, reaching \$281.0 million in FY2025, a free cash flow margin of about 13.0%.

\$ in millions	FY2021	FY2022	FY2023	FY2024	FY2025
Operating cash flow	64.7	123.6	254.4	380.4	603.1
Free cash flow	(28.3)	(20.0)	133.9	180.5	281.0
FCF margin	(4.3%)	(2.1%)	10.3%	10.8%	13.0%
Cash, equivalents & securities	1,822.0	1,650.0	1,673.7	1,855.9	4,101.0

The jump in cash and securities to \$4.1 billion at the end of FY2025, up from \$1.9 billion the year before, is large enough that it is worth flagging as likely tied to a financing event (a convertible note or equity raise) rather than organic cash build alone, since it is well ahead of what a single year of free cash flow could explain. Whatever the source, the balance sheet is in a comfortable position, with several years of runway even before accounting for the free cash flow the business is now generating on its own.

Customer Metrics and Retention

Cloudflare's customer base has both grown and gotten more concentrated at the top end. Total paying customers rose from about 140,100 in FY2021 to roughly 332,500 in FY2025 (FY2022's figure was not disclosed in the sources reviewed for this report). Large customers, those paying more than \$100,000 in annualized revenue, grew from 1,416 to 4,298 over the same period, a threefold increase, and now account for 69% of total revenue, up from 54% in FY2021.

Customer metrics	FY2021	FY2022	FY2023	FY2024	FY2025
Paying customers (thousands)	140.1	n/a	189.8	237.7	332.5
Large customers (>\$100K ARR)	1,416	2,042	2,756	3,497	4,298
\$1M+ ARR customers	n/a	85	118	173	269
Net retention rate (Q4 exit)	125%	122%	115%	111%	120%
Large-customer revenue share	54%	61%	64%	67%	69%

Net dollar retention is the one metric in the set that did not move in a straight line. It declined for three consecutive years, from 125% in FY2021 to 111% in FY2024, before recovering to 120% in FY2025. A retention rate above 100% still means existing customers are spending more on average than they were a year earlier, so even the FY2024 low point reflected expansion, not churn, but the multi-year decline and partial rebound is worth understanding before treating FY2025 as confirmation of a new trend. One additional data point would help: whether the FY2025 recovery is broad-based across the customer base or concentrated in the largest accounts, given how much revenue is now sitting with the \$1M+ ARR cohort.

The rising large-customer concentration cuts both ways. It is a sign that Cloudflare's platform strategy, selling more products into existing accounts, is working, and revenue per paying customer has grown accordingly. But a revenue base that is 69% dependent on large accounts is also more exposed to the loss or contraction of any single one of them than a more evenly distributed customer mix would be.

Geographic Revenue Mix

Revenue growth has been broadly geographic in nature rather than driven by one region. The United States remains the largest market by a wide margin, at \$1,073.0 million in FY2025, or about 49% of total revenue, essentially unchanged as a share of the total from where it stood in FY2021. EMEA has grown from \$172.1 million to \$598.6 million, and APAC, the fastest-growing region in relative terms, has grown from \$96.5 million to \$329.8 million, more than a threefold increase.

\$ in millions	FY2021	FY2022	FY2023	FY2024	FY2025
United States	342.6	515.7	678.2	849.5	1,073.0
EMEA	172.1	258.3	356.6	466.5	598.6
APAC	96.5	133.4	168.8	223.2	329.8
Other regions	45.2	67.9	93.2	130.4	166.6

Forward-Looking Indicators

Remaining performance obligations, the contracted revenue not yet recognized, stood at \$2,496.0 million at the end of FY2025, up 47.7% from \$1,690.0 million a year earlier. RPO was not broken out

separately in company disclosures for FY2021 through FY2023, so a longer trend line is not available, but the two years on record show RPO growing meaningfully faster than trailing revenue, which is generally read as a sign that bookings momentum is ahead of what is currently showing up in the income statement.

Five-Year Compound Growth

Compound annual growth rates over the full period, or over the longest window for which comparable data exists, are summarized below.

Metric	CAGR	Period
Revenue	34.8%	FY2021 - FY2025 (4-yr)
Paying customers	32.4%	FY2023 - FY2025 (2-yr)
Free cash flow	44.9%	FY2023 - FY2025 (2-yr)

Customer and free cash flow CAGRs use FY2023 as the base year because complete data for the earlier years in each series was not available.

Points Worth Watching

- Gross margin fell to 74.5% in FY2025 after three years above 76%. Whether this is a one-year dip or the start of a structural shift in the cost base is the single most important open question in this data set.
- Net retention declined for three straight years before recovering in FY2025. One year of improvement is encouraging but not yet conclusive.
- Large customers now generate 69% of revenue, up 15 points since FY2021, which raises the stakes of any large-account churn even as it validates the upsell motion.
- The jump in cash and securities to \$4.1 billion appears to reflect a financing event rather than organic cash generation and should be confirmed against the FY2025 10-K balance sheet and cash flow financing section.
- Operating losses widened by \$62 million in dollar terms in FY2025 despite continued expense-ratio improvement, since revenue growth alone did not offset the gross margin decline.

Summary

Cloudflare's five-year record through FY2025 shows a business that has nearly quadrupled its revenue base while cutting its operating expense ratio by roughly 13 percentage points and turning free cash flow positive along the way. The company is not yet GAAP profitable, and FY2025 introduced two data points, the gross margin dip and the wider operating loss, that complicate an otherwise straightforward improvement story. Neither is alarming in isolation, but both are worth tracking into FY2026 to see whether they represent a pause in an established trend or the start of a new one.

This report was prepared from the company's own press releases, earnings call transcripts and SEC filings, cross-referenced against third-party standardized financial data. It is intended as a factual summary of historical results and is not investment advice or a recommendation to buy or sell any security.